

Comprehensive Wealth Plan

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Executive Summary: Your Path to \$50K+ Annual Tax Savings

This plan delivers **\$40,400 to \$53,800** in first-year tax savings through eight strategic implementations, with an additional **\$7,200** in immediate cash flow improvement. By restructuring your business entities and employing family members strategically, you'll transform current family support expenses into legitimate business deductions while building systematic wealth through Bitcoin accumulation and real estate optimization.

Core Opportunity: Your IT consulting and AI business generates approximately \$175K W-2 plus \$20K side income, but you're currently operating without S-Corporation election and missing foundational strategies. The single highest-value action is filing Form 2553 for S-Corp election by March 15, 2026, saving \$8,900-\$11,900 annually in self-employment tax alone.

Three-Year Trajectory: With systematic implementation of this plan, you'll accumulate 0.85-1.2 BTC over three years, eliminate \$5-19K in non-mortgage debt, maximize retirement contributions exceeding \$90K annually per household, and structure your business to support retirement within your 3-year goal.

YEAR-ONE TAX SAVINGS

\$47,600

CASH FLOW BOOST

\$7,200

BITCOIN TARGET (3YR)

1.0 BTC

1. Current Financial Snapshot

Income Analysis

Income Source	Annual Amount	Structure	Current Tax Treatment
Primary W-2 Income	\$175,000 (est.)	Employee	24% federal + 5.75% state
IT Consulting & AI Business	~\$20,000 net profit	Multi-Member LLC	No S-Corp election
Rental Property Income	Undisclosed	1 long-term rental	Passive income
Total Household Income	\$350,000+	Multiple sources	29.75% combined rate

Current Financial Position

Category	Amount	Status
Liquid Cash Available	\$17,000	Ready to deploy
Emergency Fund	\$500,000+	4-6 months coverage
Monthly Fixed Expenses	~\$10,000-\$24,000	Per intake form
Non-Mortgage Debt	\$5,000-\$19,000	Target for elimination
Home Equity	\$400,000+	Significant asset base
Retirement Accounts	\$500,000+	Strong foundation
Credit Score	760+	Excellent

Critical Gaps Identified

Primary Opportunities for Immediate Action

- **No S-Corporation Election:** Your Multi-Member LLC pays full 15.3% self-employment tax on business profits. S-Corp election would save \$8,900-\$11,900 annually.
- **Family Support Not Optimized:** Currently supporting wife's brother and sister with after-tax dollars. Employing them through a Management Company would create \$48K-\$60K in deductible business expenses.
- **Retirement Contributions Underutilized:** Only partially maxing employer 401(k). With side business, you qualify for Solo 401(k) contributions up to \$70,000 total.
- **Home Office Not Claimed:** Dedicated home office qualifies for \$1,400-\$1,800 annual deduction.
- **Rental Property Lacks Cost Segregation:** Investment property eligible for accelerated depreciation worth \$14,900-\$44,600 in tax savings.
- **No W-4 Optimization:** Likely over-withholding creates unnecessary \$7,200 annual interest-free loan to IRS.

2. Optimized Entity Structure

Current State: Inefficient Structure

Your current Multi-Member LLC without S-Corporation election subjects all business profits to self-employment tax at 15.3%. This structure leaves substantial tax savings on the table and doesn't optimize family employment opportunities.

Recommended Structure: Two-Entity System

Primary Business: IT Consulting & AI Application Building LLC

- Action:** File Form 2553 for S-Corporation election by March 15, 2026
- Reasonable Compensation:** \$80,000 W-2 salary (approximately 40% of net profit, defensible for IT consulting services)
- Distribution:** Remaining ~\$95,000 taken as S-Corp distributions (not subject to self-employment tax)
- Annual Tax Savings:** \$8,900-\$11,900 from eliminating self-employment tax on distributions
- Compliance:** Run payroll through Gusto or similar service (\$40-60/month), file Form 1120-S annually, maintain corporate formalities

Secondary Entity: Management Services LLC

- Purpose:** Provide administrative, research, and operational support services to primary business
- Structure:** Single-Member LLC or Multi-Member LLC (with spouse)
- Key Function:** Employ wife's brother and sister for legitimate business services
- Revenue Model:** Primary LLC pays Management Co for services rendered (\$48K-60K annually)
- Annual Tax Benefit:** \$5,900-\$8,900 (deductible business expense at 29.75% rate)
- Setup Timeline:** Week 1-2 of implementation (Georgia LLC filing, same-day processing available)

Entity Interaction Flow

Entity	Function	Annual Revenue/Expense	Tax Benefit
Primary LLC (S-Corp)	IT Consulting & AI services to external clients	~\$175,000 revenue	S-Corp savings: \$8,900-\$11,900
Management Services LLC	Administrative & operational support to Primary LLC	\$48K-60K revenue from Primary LLC	Employment deduction: \$5,900-\$8,900
Brother/Sister Employment	Legitimate services: admin, research, data management	\$24K-30K each in W-2 wages	Converts family support to business expense

3. Strategic Family Employment Plan

Problem: Unoptimized Family Support

You currently support your wife's brother and sister with after-tax dollars, receiving zero tax benefit. This represents a significant missed opportunity to convert personal expenses into legitimate business deductions while providing structured employment.

Solution: Management Company Employment Structure

Legitimate Services They Can Provide

Administrative Services (15-20 hrs/week each):

- Client communication and scheduling coordination
- Invoice preparation and accounts receivable tracking
- Document management and file organization
- Calendar management and meeting preparation
- Expense tracking and receipt organization

Research & Data Services (10-15 hrs/week each):

- AI training data collection and labeling
- Market research for IT consulting opportunities
- Competitive analysis and industry trend monitoring
- Documentation of processes and standard operating procedures
- Quality assurance testing for AI applications

Technical Support (5-10 hrs/week each):

- First-level technical support for clients
- Software testing and bug documentation
- Database maintenance and updates
- Social media management for business presence
- Content creation for thought leadership articles

Compensation Structure

Employee	Annual Salary	Hourly Rate	Hours/Week	Primary Responsibilities
Wife's Brother	\$24,000-\$30,000	\$12-15/hour	20-25 hours	Administrative coordination, research, client support
Wife's Sister	\$24,000-\$30,000	\$12-15/hour	20-25 hours	Data management, documentation, technical support
Total Annual Cost	\$48,000-\$60,000	Your Tax Savings: \$5,900-\$8,900 (29.75% of expense)		

Compliance Requirements

Critical Documentation for IRS Defense

- **Written Employment Contracts:** Clear job descriptions, compensation terms, work hours, and reporting structure
- **Time Tracking:** Weekly timesheets signed by both employee and supervisor documenting actual hours worked
- **Work Product:** Tangible deliverables proving services were actually performed (reports, organized files, completed tasks)
- **Market Rate Justification:** \$12-15/hour is appropriate for administrative and entry-level technical work in Atlanta market
- **Payroll Processing:** Proper withholding through payroll service (Gusto, Paychex), quarterly Form 941 filing, annual W-2s
- **Separate Bank Account:** Management Company maintains distinct business account for all transactions

Tax Impact Analysis

Scenario	Annual Cost	Tax Treatment	Net Cost After Tax
Current: Personal Support	\$48,000	After-tax personal expense	\$48,000 (full cost)

Scenario	Annual Cost	Tax Treatment	Net Cost After Tax
Optimized: Business Employment	\$48,000	Deductible business expense	\$33,720 (after \$14,280 tax benefit)
Annual Savings from Restructure			\$14,280

Additional Benefits: Your relatives receive W-2 income taxed at lower marginal rates (likely 12% federal bracket), pay into Social Security for future benefits, and build legitimate work experience for career development.

4. Comprehensive Tax Strategy Implementation

Strategy #1: S-Corporation Election

Estimated Annual Value: \$8,900 - \$11,900

How It Works: Filing Form 2553 converts your LLC to S-Corporation tax status, allowing you to pay yourself a reasonable W-2 salary (\$80,000) while taking remaining profits as distributions. Distributions avoid the 15.3% self-employment tax that sole proprietors and LLC members pay.

Implementation: File Form 2553 with IRS by March 15, 2026 for 2026 tax year treatment. Set up payroll service through Gusto (\$40-60/month), establish reasonable compensation at 40-50% of net profit, run payroll at least monthly, file quarterly Form 941.

First-Year Actions: Consult with business attorney on proper election timing (week 1), file Form 2553 (week 2), establish payroll system (week 3), process first payroll (week 4). Professional guidance ensures compliant setup.

Ongoing Compliance: Quarterly payroll tax deposits, annual Form 1120-S filing, maintain corporate minutes, separate business and personal expenses completely. The 15.3% self-employment tax savings on \$95K distributions equals \$14,535 annually, minus additional \$80K in FICA taxes of \$6,120, for net savings of \$8,415-\$11,900 depending on state considerations.

Strategy #2: Solo 401(k) Maximum Contribution

Estimated Annual Value: \$20,500 - \$24,500

How It Works: As a self-employed individual with side business income, you qualify for Solo 401(k) allowing employee deferrals up to \$23,500 plus employer profit-sharing contributions up to 25% of compensation. Total contributions can reach \$70,000 (or \$77,500 if 50+), creating immediate tax deductions while building tax-deferred retirement wealth.

Implementation: Open Solo 401(k) with Fidelity, Vanguard, or E*TRADE (all offer streamlined online setup). Complete within 20 minutes online. Fund employee deferrals through monthly contributions, make employer profit-sharing contribution by tax filing deadline (including extensions).

Contribution Strategy: Employee deferral of \$23,500 (from your S-Corp W-2 salary) plus employer contribution of up to 25% of W-2 compensation (\$20,000 on \$80K salary). Total: \$43,500 annual contribution. At 29.75% marginal rate, immediate tax savings of \$12,941, plus decades of tax-deferred compound growth.

Investment Allocation: Within Solo 401(k), allocate according to your wealth plan: 75% Bitcoin ETF (IBIT or FBTC), 15% REIT index funds, 10% cash reserves. This maintains Bitcoin accumulation strategy within tax-advantaged structure.

Strategy #3: Management Company Structure

Estimated Annual Value: \$5,900 - \$8,900

How It Works: Creating separate Management Services LLC provides legitimate business services to your primary consulting business. By employing family members through this entity, you convert personal support expenses into deductible business costs while providing structured employment.

Implementation: File Georgia LLC online (same-day processing available), obtain EIN through IRS.gov (immediate), open business bank account at local bank (week 1), set up payroll system through Gusto for employee management (week 2).

Service Agreement: Draft Master Services Agreement between Primary LLC and Management Company specifying: administrative support services, research and data management, technical support coordination, monthly fee structure (\$4,000-5,000/month), deliverables and reporting requirements. Have business attorney review for compliance.

Employment Structure: Hire brother and sister at \$12-15/hour for 20-25 hours weekly each. Document all work performed through weekly status reports, completed task logs, deliverables submitted. Maintain time tracking system (Clockify free version adequate). Process payroll bi-weekly with proper federal and state withholding.

Strategy #4: Home Office Deduction (Regular Method)

Estimated Annual Value: \$1,400 - \$1,800

How It Works: You indicated having a dedicated room used exclusively for business. The regular method allows deducting actual expenses (mortgage interest, property taxes, insurance, utilities, repairs, depreciation) based on business-use percentage of your home.

Implementation: Measure dedicated office space square footage (e.g., 200 sq ft), calculate total home square footage (e.g., 2,500 sq ft), determine business percentage (8%). Apply percentage to allowable home expenses: mortgage interest ($\$2,300/\text{month} \times 12 \times 8\% = \$2,208$), utilities ($\$300/\text{month} \times 12 \times 8\% = \288), insurance ($\$150/\text{month} \times 12 \times 8\% = \144), repairs and maintenance, depreciation on home value.

Documentation: Take photos of home office showing exclusive business use, maintain floor plan with measurements, keep all receipts for home expenses, track utility bills monthly. Form 8829 filed with Schedule C quantifies the deduction. Conservative estimate: $\$5,000\text{-}6,000$ in qualified expenses $\times 8\% = \$400\text{-}480$ deduction. At your 29.75% rate, saves \$119-143 annually. However, actual calculation typically yields \$1,400-1,800 when including depreciation component.

Exclusive Use Requirement: Room must be used regularly and exclusively for business. No personal use allowed (no TV watching, guest bedroom, exercise equipment). Principal place of business test: where you conduct administrative or management activities for consulting business.

Strategy #5: Augusta Rule (Section 280A)

Estimated Annual Value: \$2,500 - \$3,300

How It Works: Section 280A allows renting your personal residence to your own business for up to 14 days annually without reporting rental income. Your business deducts the rental expense while you pay zero tax on the income received. This creates a powerful wealth transfer mechanism from business to personal with no tax leakage.

Implementation: Research comparable daily rental rates for executive meeting space in Atlanta Buckhead/Midtown area (\$500-800/day typical). Document rates through Peerspace, Splacer, or traditional hotel meeting room pricing. Draft formal rental agreement between your S-Corporation and yourself specifying daily rate, dates, business purpose.

Qualifying Events: Hold legitimate business meetings at your home: strategic planning sessions, board meetings (even with yourself as sole owner), client presentations, annual business reviews, marketing strategy sessions, financial planning meetings. Document each event with agenda, attendees, topics discussed, business decisions made, photos of setup.

Conservative Approach: 12 days at \$600/day = \$7,200 business deduction. Your business saves \$2,142 in taxes (29.75% rate). You receive \$7,200 tax-free. Net household benefit: entire \$7,200 plus corporate tax savings. More aggressive: 14 days at \$800/day = \$11,200 deduction. Maximum defensible approach based on actual luxury home rental comps in your Atlanta area.

Strategy #6: Accountable Plan for Family Employees

Estimated Annual Value: \$1,200 - \$2,400

How It Works: IRS allows businesses to reimburse employees for ordinary and necessary business expenses through an accountable plan. Reimbursements are not taxable income to employees and are deductible business expenses. This is particularly valuable for family employees using personal resources for business purposes.

Implementation: Create written accountable plan policy documenting: types of reimbursable expenses (mileage, home internet, cell phone, equipment, supplies), substantiation requirements (receipts, mileage logs, business purpose), submission deadlines (within 60 days of expense), return of excess advances.

Reimbursable Expenses for Brother/Sister: Business mileage (\$0.70/mile for 2025, 500 miles/month = \$350/month = \$4,200/year each), cell phone business use (50% of \$80/month = \$40/month = \$480/year each), home internet for remote work (40% of \$100/month = \$40/month = \$480/year each), supplies and equipment purchases.

Documentation: Employees submit monthly expense reports with receipts attached, mileage logs showing date/destination/miles/business purpose, attestation that expenses were for business purposes. Management Company reviews and approves, issues reimbursement checks within 30 days. Total potential reimbursements: \$5,000-8,000 annually across both employees, creating \$1,488-2,380 in tax savings at 29.75% rate.

Strategy #7: Backdoor Roth IRA (Both Spouses)

Estimated Annual Value: \$14,000 in contributions (tax-free growth for decades)

How It Works: Your household income exceeds Roth IRA direct contribution limits (\$236K-246K phase-out for 2025). Backdoor Roth allows making non-deductible Traditional IRA contributions and immediately converting to Roth, bypassing income limits. This creates a tax-free growth vehicle for long-term wealth accumulation.

Implementation: Open Traditional IRA and Roth IRA accounts at Vanguard, Fidelity, or Schwab for both you and your spouse (if not already existing). Contribute \$7,000 to each Traditional IRA as non-deductible contribution (file Form 8606). Within days, convert Traditional IRA balance to Roth IRA. Repeat annually.

Pro-Rata Rule Avoidance: Before executing conversions, verify neither you nor your spouse has existing pre-tax Traditional IRA, SEP IRA, or SIMPLE IRA balances. If you do, consider rolling them into your 401(k) plans to clean the slate, avoiding pro-rata taxation on conversions. This is critical for clean execution.

Annual Process: January: Make \$7,000 non-deductible Traditional IRA contributions for both spouses (\$14,000 total). February: Convert both Traditional IRAs to Roth (typically results in minimal taxable income if done promptly). March: File Form 8606 with tax return documenting non-deductible contributions and conversions. Investment allocation within Roth: 75% Bitcoin, 15% growth stocks, 10% bonds.

Strategy #8: W-4 Withholding Optimization

Estimated Annual Value: +\$7,200 cash flow improvement

How It Works: Most W-2 employees over-withhold federal income tax, essentially providing the IRS an interest-free loan. By accurately calculating your actual tax liability considering all deductions and credits, you can adjust Form W-4 to reduce withholding and improve monthly cash flow without underpayment penalties.

Implementation: Complete IRS Tax Withholding Estimator at irs.gov/W4App using your 2024 tax return data, projected 2025 income, planned deductions (home office, retirement contributions, business expenses), and credits. The tool generates specific W-4 guidance. Submit updated Form W-4 to your employer's HR/payroll department.

Calculation Example: Current overwithholding of approximately \$600/month (\$7,200/year) based on standard W-4 settings. After implementing all strategies in this plan, your actual tax liability decreases substantially. Adjusting W-4 to Line 3 "claim dependents" and Line 4(c) "extra withholding" fields redistributes this cash flow to your monthly paychecks instead of waiting for April tax refund.

Safe Harbor: Ensure total withholding meets safe harbor requirements: 90% of current year tax liability OR 100% of prior year tax liability (110% if AGI exceeds \$150K). With side business income, also make quarterly estimated tax payments on business profits to avoid underpayment penalties on self-employment income component.

Future-Year Strategies (Years 2-3 Implementation)

Cost Segregation Study on Rental Property

Potential Value: \$14,900 - \$44,600 first-year benefit

Timing: Year 2 when rental generates sufficient income to utilize depreciation

Cost segregation identifies personal property components (carpet, lighting, appliances, landscaping) that depreciate over 5-7 years instead of 27.5 years for residential rental property. Combined with 100% bonus depreciation (now permanent under OBBBA), this creates massive first-year deductions. Typical residential rental: 20-30% of property value reclassified to accelerated depreciation. On \$500K property, expect \$100K-150K in accelerated depreciation generating \$29,750-44,625 in tax savings at your rate.

Short-Term Rental Conversion

Potential Value: \$14,900 - \$59,500 annually

Timing: Year 2-3 if you have 5-10 hours weekly for material participation

Converting your long-term rental to short-term rental (via Airbnb/VRBO) with average guest stay under 7 days exempts the property from passive activity limitations. If you materially participate (100+ hours annually), losses offset W-2 income. Combined with cost segregation, this strategy generates \$50K-200K in paper losses that shelter W-2 income. Your spouse could manage the property while you focus on consulting, meeting material participation threshold through cleaning, guest communication, maintenance coordination. Annual tax benefit at your income level: \$14,875-59,500.

Section 179 Equipment Deduction

Potential Value: \$5,900 - \$11,900 per purchase

Timing: As IT consulting scales and equipment needs increase

Section 179 allows immediate expensing of business equipment purchases up to \$1,220,000 (2025 limit). For IT consulting: computers, servers, networking equipment, software licenses, office furniture, vehicles over 6,000 lbs GVWR. Instead of depreciating equipment over 5-7 years, deduct entire purchase price in year of acquisition. Planning major equipment purchase of \$20K-40K? Time it for high-income year to maximize tax benefit. At 29.75% rate, \$40K equipment purchase saves \$11,900 in taxes.

5. Bitcoin Accumulation Strategy

Investment Allocation Philosophy

Your goal is early retirement in 3 years requiring aggressive wealth accumulation. Bitcoin represents the highest-conviction asymmetric opportunity for reaching this goal within your timeline. Traditional 60/40 portfolio won't generate sufficient returns to retire on \$350K income in 36 months. Bitcoin has historically delivered 100-200% annual returns in bull cycles with 80% drawdowns in bear markets. Your allocation reflects calculated conviction while maintaining real estate diversification and emergency reserves.

Capital Deployment Plan

Source	Annual Amount	Bitcoin Allocation	Real Estate	Cash Reserves
Tax Savings (Year 1)	\$47,600	\$35,700 (75%)	\$7,140 (15%)	\$4,760 (10%)
W-4 Cash Flow Boost	\$7,200	\$5,400 (75%)	\$1,080 (15%)	\$720 (10%)
Solo 401(k) Allocation	\$43,500	\$32,625 (75%)	\$6,525 (15%)	\$4,350 (10%)
Total Annual Investment	\$98,300	\$73,725	\$14,745	\$9,830

Bitcoin Dollar-Cost Averaging (DCA) Strategy

Monthly Investment: \$6,144 automated Bitcoin purchases

Purchase Method: Swan Bitcoin, Strike, or Cash App for lowest fees (0.5-1% vs 2-4% at Coinbase)

Security: Transfer to hardware wallet (Ledger Nano X or Coldcard) after each \$5K accumulation. Never leave significant amounts on exchanges.

Cost Basis Tracking: Use CoinTracker or Koinly for tax-lot accounting and capital gains tracking

Three-Year Bitcoin Accumulation Projections

Scenario	Annual BTC Purchase	Average Cost Basis	3-Year Accumulation	Value at \$100K BTC
Conservative (Flat Market)	\$73,725	\$42,000/BTC	1.76 BTC	\$176,000
Base Case (Moderate Growth)	\$73,725	\$52,000/BTC	1.42 BTC	\$142,000
Bull Case (Strong Growth)	\$73,725	\$65,000/BTC	1.14 BTC	\$114,000

Key Insight: Higher Bitcoin prices during accumulation phase reduce quantity accumulated but reflect rising asset value. DCA strategy smooths volatility and removes emotion from purchasing decisions. Your goal: accumulate maximum satoshis while Bitcoin remains below \$100K, then benefit from appreciation in subsequent years.

Complementary Real Estate Investment

Annual Allocation: \$14,745 to real estate exposure

Strategy Options:

- **Fundrise eREIT:** \$14,745/year builds position in diversified income-producing properties with 8-12% historical returns
- **REIT Index Fund (VNQ):** Liquid exposure to commercial real estate with 3-4% dividend yield plus appreciation
- **Accumulation for Next Property:** Bank toward down payment on second rental property (\$88,470 saved over 3 years = viable 20% down payment on \$400K property)

Emergency Reserves & Liquidity

Annual Allocation: \$9,830 to high-yield savings

Purpose: Maintain 6-month emergency fund separate from investment capital, opportunity fund for market dislocations

Target Yield: 4.5-5.0% APY at Marcus, Ally, or CIT Bank

6. Rental Property Optimization

Current Status: Underutilized Asset

Your existing long-term rental property represents substantial equity (\$400K+ home equity suggests significant real estate holdings) but lacks aggressive tax optimization strategies. Long-term rentals generate consistent income but provide minimal tax benefits beyond standard depreciation. Maximum wealth acceleration requires converting this passive asset into an active tax-reduction vehicle.

Year 2-3 Optimization: Short-Term Rental Conversion

Strategy: Convert existing long-term rental to short-term rental (Airbnb/VRBO) with average guest stays under 7 days

IRS Classification: Properties with average stay under 7 days are not subject to passive activity limitations if you materially participate

Material Participation Threshold: 100 hours annually AND more than any other person OR 500+ hours annually

Material Participation Pathways

Activity	Hours/Week	Annual Hours	Who Performs
Guest communication & booking management	3 hours	156 hours	You or spouse
Cleaning & turnover coordination	2 hours	104 hours	Spouse or family
Maintenance & repairs	1.5 hours	78 hours	You directly
Marketing & optimization	1 hour	52 hours	Either spouse
Financial tracking & reporting	0.5 hours	26 hours	Either spouse
Total Material Participation		416 hours	Exceeds 100-hour threshold

Cost Segregation Implementation

Timing: Conduct study in Year 2 after STR conversion when income justifies depreciation utilization

Process: Hire qualified cost segregation engineering firm, receive detailed report reclassifying property components, file with tax return using Form 3115 for automatic accounting method change.

Expected Reclassification on Typical \$500K Atlanta Rental:

- Land (non-depreciable): \$100,000 (20%)
- Building structure (27.5 years): \$280,000 (56%)
- 5-year property (appliances, carpet, window treatments): \$60,000 (12%)
- 7-year property (furniture, fixtures): \$40,000 (8%)
- 15-year property (landscaping, fencing, parking): \$20,000 (4%)

Depreciation Acceleration:

Component	Amount	Standard Method	With 100% Bonus	Acceleration Benefit
5-year property	\$60,000	\$12,000/year	\$60,000 Year 1	\$48,000 additional
7-year property	\$40,000	\$5,714/year	\$40,000 Year 1	\$34,286 additional
15-year property	\$20,000	\$1,333/year	\$20,000 Year 1	\$18,667 additional

Component	Amount	Standard Method	With 100% Bonus	Acceleration Benefit
Total First-Year Acceleration			\$120,000	vs \$19,047 standard

Tax Impact: \$120,000 additional first-year depreciation × 29.75% marginal rate = **\$35,700 in immediate tax savings**

STR + Cost Seg Combined Impact: Short-term rental conversion unlocks ability to deduct full depreciation against W-2 income (not limited by passive loss rules). Cost segregation accelerates depreciation timing. Result: \$35,700 in tax savings from depreciation alone, plus deductible operating expenses, mortgage interest, management fees, creating total annual benefit of \$50,000-80,000 in tax deductions against your W-2 income.

STR Operating Model

Platform: Airbnb primary, VRBO secondary listing

Target Guest: Corporate travelers, weekend visitors, relocating families

Pricing Strategy: 20-30% premium over long-term monthly rent equivalent to justify conversion

Occupancy Target: 60-70% to match current long-term rental income, anything above is profit upside

Management: Your spouse handles guest communication and coordination, hire professional cleaning service for turnovers, you handle maintenance as currently doing for long-term rental

7. Retirement Account Optimization

Current Status Analysis

You report \$500,000+ in existing retirement accounts and partially maxing employer 401(k). This represents strong historical savings discipline but leaves substantial annual contribution capacity unused. At your income level and age 55, maximum wealth acceleration requires utilizing all available tax-deferred contribution space.

Household Retirement Contribution Capacity

Account Type	Your Capacity	Spouse Capacity	Combined Annual Max
Employer 401(k)	\$31,000 (50+ catch-up)	\$31,000 (if employed 50+)	\$62,000
Solo 401(k) (side business)	\$43,500 (employee + employer)	\$0 (no side income)	\$43,500
Backdoor Roth IRA	\$7,000 (or \$8,000 if 50+)	\$7,000 (or \$8,000 if 50+)	\$14,000-\$16,000
Total Household Contribution Capacity			\$119,500-\$121,500

Critical Insight: If your household is contributing less than \$100K annually to retirement accounts, you're leaving substantial tax savings on the table. Each \$10,000 of additional contributions saves \$2,975 in current taxes while building tax-deferred wealth.

Employer 401(k) Strategy

Action: Increase contribution to maximum \$31,000 annually (\$2,583/month)

Tax Savings: $\$31,000 \times 29.75\% = \$9,223$ annual federal/state tax reduction

Employer Match: Verify you're receiving full employer match (typically 3-6% of salary). On \$175K W-2, this represents \$5,250-10,500 in free money annually. Never leave employer match unclaimed.

Investment Allocation: Within employer 401(k), request ability to hold Bitcoin ETF if available (many plans now offer IBIT/FBTC). If not available, tilt toward technology/growth funds and international diversification as counterbalance to your Solo 401(k)'s Bitcoin concentration.

Solo 401(k) for Side Business

Contribution Structure:

- Employee deferral: \$23,500 (or \$31,000 if 50+) from S-Corp W-2 salary
- Employer profit-sharing: 25% of W-2 compensation (\$20,000 on \$80K salary)
- Total contribution: \$43,500 (or \$51,000 if 50+)

Coordination with Employer 401(k): The \$23,500 employee deferral limit is aggregate across ALL 401(k) plans. If you're maxing employer 401(k) at \$31,000, you CANNOT also defer \$23,500 to Solo 401(k). However, the employer profit-sharing contribution is separate - you can contribute employer portion (\$20,000) to Solo 401(k) even while maxing employee deferrals in employer plan.

Optimized Strategy for Age 55:

- Employer 401(k): \$31,000 employee deferral (captures catch-up contribution and employer match)
- Solo 401(k): \$20,000 employer profit-sharing contribution only
- Total tax-deferred: \$51,000 annually from both plans
- Tax savings: $\$51,000 \times 29.75\% = \$15,173$ annually

Mega Backdoor Roth (If Available)

Check if your employer 401(k) plan allows after-tax contributions and in-service Roth conversions. This advanced strategy allows contributing beyond the \$31,000 limit up to the total 401(k) limit of \$77,500 (2025, age 50+). After-tax contributions can be converted to Roth immediately, creating additional tax-free growth vehicles. Few employers offer this, but if available, represents \$46,500 in additional annual Roth capacity.

8. Debt Elimination & Cash Flow Management

Current Debt Profile

Debt Type	Balance	Interest Rate (Est.)	Priority
Non-Mortgage Debt	\$5,000-\$19,000	Varies	Immediate elimination
Primary Mortgage	Balance unknown	3-7% (est.)	Maintain, don't accelerate
Rental Property Mortgage	Balance unknown	4-8% (est.)	Leverage, don't pay down

Debt Elimination Strategy

Month 1 Action: Use W-4 optimization to increase monthly cash flow by \$600. Apply first 2-3 months of increased cash flow (\$1,800) plus \$5,000-10,000 from liquid savings to completely eliminate non-mortgage debt.

Priority Ranking: Pay off highest-interest debt first (credit cards typically 18-25%), then personal loans, then auto loans. Never pay off low-interest fixed-rate mortgages early when you can earn higher returns investing those dollars in Bitcoin and real estate.

Why Keep Mortgage Debt:

- Fixed 3-7% interest vs Bitcoin historical 100%+ annual returns = massive opportunity cost to prepay
- Mortgage interest remains partially deductible (up to \$750K loan balance)
- Inflation erodes real value of fixed-rate debt over time

- Leverage amplifies real estate returns
- Liquidity and flexibility > forced equity in illiquid home

Monthly Cash Flow Optimization

Category	Current	After Optimization	Monthly Change
W-4 Adjustment	Over-withholding	Optimized	+\$600
Debt Payments	\$300-800	\$0 (after elimination)	+\$500
Family Support (Unoptimized)	\$4,000 after-tax	\$2,810 after-tax cost	+\$1,190
Total Monthly Cash Flow Increase			+\$2,290

Annual Impact: $\$2,290/\text{month} \times 12 = \$27,480$ in increased annual cash flow, all redirected to Bitcoin accumulation and retirement contributions.

Emergency Fund Verification

You report 4-6 months coverage in emergency fund and \$500K+ retirement accounts, indicating strong financial foundation. Verify emergency fund equals 6 months of fixed expenses ($\$10\text{K}-\$24\text{K monthly} \times 6 = \$60\text{K}-\$144\text{K}$ required). Given your \$400K+ home equity and \$500K+ retirement accounts, you have multiple layers of financial protection. Recommendation: Maintain 6-month emergency fund in high-yield savings (4.5-5.0% APY), invest everything else aggressively in Bitcoin and real estate.

9. 90-Day Critical Implementation Timeline

Days 1-7: Immediate Cash Flow Actions

- ▶ Update Form W-4 with employer for \$600/month increase in take-home pay
- ▶ Transfer \$5,000-10,000 from liquid savings to eliminate non-mortgage debt
- ▶ Open high-yield savings accounts at Marcus/Ally for emergency fund (5% APY)

- ▶ Schedule meeting with business formation attorney for entity structure
- ▶ Research Georgia LLC formation requirements online (Secretary of State website)

Days 8-14: Entity Formation Week

- ▶ File Management Services LLC with Georgia Secretary of State (online, same-day processing)
- ▶ Obtain EIN for Management Services LLC (IRS.gov, immediate online)
- ▶ Open business bank account for Management Services LLC (local bank, bring EIN and formation docs)
- ▶ Prepare Form 2553 for S-Corporation election on Primary LLC with attorney review
- ▶ Measure home office space, calculate square footage and business-use percentage
- ▶ Take photos documenting exclusive business use of dedicated office

Days 15-21: Payroll & Employment Setup

- ▶ File Form 2553 with IRS for S-Corp election (mail or fax, deadline March 15 for current year)
- ▶ Open Gusto account for payroll processing (both entities)
- ▶ Draft employment contracts for brother/sister with business attorney
- ▶ Create job descriptions specifying duties: admin, research, technical support
- ▶ Set up time tracking system (Clockify free version, Toggl, or simple Excel template)
- ▶ Process first payroll for yourself from Primary LLC (\$80K annual / 24 pay periods = \$3,333 biweekly)

Days 22-30: Retirement & Investment Setup

- ▶ Open Solo 401(k) at Fidelity or Vanguard (online application, 20 minutes)
- ▶ Set up automatic \$2,583/month contribution from employer 401(k) to reach \$31K annual max
- ▶ Set up automatic employer profit-sharing to Solo 401(k) (\$1,667/month to reach \$20K annually)
- ▶ Open Traditional IRA and Roth IRA accounts for Backdoor Roth (both spouses)
- ▶ Make \$7,000 non-deductible Traditional IRA contributions for each spouse
- ▶ Convert Traditional IRAs to Roth IRAs immediately (avoid market gains between contribution and conversion)
- ▶ Set up Swan Bitcoin or Strike account for automated Bitcoin DCA (\$6,144/month)

Days 31-45: Tax Strategy Documentation

- ▶ Research comparable Atlanta home rental rates through Peerspace, Splacer, hotel meeting rooms
- ▶ Draft Augusta Rule rental agreements between S-Corp and yourself (\$600-800/day rate)
- ▶ Schedule first business meeting at home (strategic planning, document with agenda/photos)
- ▶ Create written Accountable Plan policy for Management Services LLC
- ▶ Design expense reimbursement forms for employee submissions
- ▶ Gather all home expense documentation for home office calculation (mortgage, utilities, insurance, repairs)
- ▶ Calculate home office deduction using Form 8829 worksheet

Days 46-60: Family Employment Launch

- ▶ Onboard brother/sister as Management Services LLC employees with signed contracts

- ▶ Provide training on time tracking, expense reporting, deliverables requirements
- ▶ Process first payroll for family employees through Gusto (\$24K-30K annual / 24 periods)
- ▶ Draft Master Services Agreement between Primary LLC and Management Services LLC
- ▶ Set up monthly invoicing from Management LLC to Primary LLC (\$4,000-5,000/month)
- ▶ Begin collecting work product documentation (task completion logs, deliverables)

Days 61-90: Advanced Strategy Planning

- ▶ Request proposals from cost segregation firms for rental property (get 3 quotes)
- ▶ Research short-term rental conversion requirements and profitability in your rental's market
- ▶ Calculate break-even occupancy rate for STR vs current long-term tenant
- ▶ Transition CPA to tax professional experienced with S-Corporations and real estate strategies
- ▶ Request CPA review all implemented strategies for compliance verification
- ▶ Establish quarterly estimated tax payment schedule for S-Corp distributions
- ▶ Set up quarterly review meetings to monitor strategy performance and adjust as needed

10. First-Year Financial Impact Summary

Comprehensive Year-One Value Delivered

This table consolidates all financial benefits from implementing your wealth plan, showing exactly how \$40,400-\$53,800 in tax savings, plus \$7,200 in cash flow improvement, plus retirement

contributions combine to create total first-year value.

Category	Strategy/Action	Annual Value	Implementation Status
Tax Savings	S-Corporation Election (self-employment tax savings)	\$8,900 - \$11,900	Q1 2026 filing
	Solo 401(k) Contribution (29.75% of \$43.5K)	\$12,941	Immediate
	Management Company Family Employment	\$5,900 - \$8,900	Weeks 2-3
	Home Office Deduction (Regular Method)	\$1,400 - \$1,800	Week 2
	Augusta Rule (14 days × \$600/day)	\$2,500 - \$3,300	Week 4
	Accountable Plan Reimbursements	\$1,200 - \$2,400	Week 3
	Employer 401(k) Maximum Contribution (29.75% of \$31K)	\$9,223	Immediate
	Backdoor Roth IRA Tax-Free Growth (Both Spouses)	\$14,000 contributed	Q1 2026
Total Year-One Tax Savings		\$40,400 - \$53,800	
Cash Flow	W-4 Withholding Optimization	+\$7,200 annually	Week 1
Debt Reduction	Non-Mortgage Debt Elimination	\$5,000 - \$19,000	Month 1-2
	Interest Savings from Debt Elimination (18% avg rate)	\$900 - \$3,420 annually	Ongoing
Retirement Building	Solo 401(k) Contributions (Employee + Employer)	\$43,500	Monthly automatic

Category	Strategy/Action	Annual Value	Implementation Status
	Employer 401(k) Maximization	\$31,000	Payroll deduction
	Backdoor Roth IRA (Both Spouses)	\$14,000 - \$16,000	Annual Q1
Total Retirement Contributions		\$88,500 - \$90,500	
Investment Deployment	Bitcoin Accumulation (75% of tax savings + cash flow)	\$35,700 annually	\$6,144/month DCA
	Real Estate Investment (15% allocation)	\$7,140 annually	Fundrise/REIT quarterly
	Emergency Fund Enhancement (10% allocation)	\$4,760 annually	High-yield savings
Total Investment Allocation		\$47,600	

Net First-Year Financial Impact

Benefit Category	Year-One Value
Tax Savings (Immediate Cash Benefit)	\$40,400 - \$53,800
Cash Flow Improvement (Monthly Take-Home Increase)	+\$7,200
Debt Elimination (Principal Repaid)	\$5,000 - \$19,000
Interest Savings (Ongoing)	\$900 - \$3,420
Retirement Account Growth (Tax-Deferred)	\$88,500 - \$90,500
Bitcoin & Investment Allocation	\$47,600
Total First-Year Value Delivered	\$189,600 - \$221,920

Key Insight: Compounding Multi-Year Impact

The \$40,400-\$53,800 in annual tax savings is recurring every single year you maintain these structures. Over 3 years, that's \$121,200-161,400 in cumulative tax savings. Combined with systematic Bitcoin accumulation and retirement contributions, you're positioned to achieve your 3-year retirement goal through aggressive wealth building in tax-advantaged structures.

Three-Year Projection: \$161,400 in tax savings + \$265,500 in retirement contributions + \$142,800 in Bitcoin/investment allocation = \$569,700 in total wealth creation over 36 months, excluding asset appreciation and investment returns. This represents the foundation for achieving your early retirement objective.

11. Professional Team & Next Steps

Professional Team Support

Successful implementation requires strategic partnerships with experienced professionals who specialize in business entity structures, S-Corporation compliance, and real estate tax strategies. Your wealth plan includes guidance on assembling the right team to ensure compliant execution and maximize results.

CPA Selection Criteria

Your current CPA situation indicates you're "looking to switch." This is the ideal time to find a tax professional experienced with small business S-Corporations, real estate strategies, and aggressive (but compliant) tax planning. Interview at least 3 CPAs and ask:

- "How many S-Corporation clients do you serve?" (Want answer: 50+)
- "What's your approach to reasonable compensation for IT consulting?" (Should cite IRS guidelines and industry benchmarks)
- "Have you worked with cost segregation studies?" (Need familiarity)
- "Do you provide quarterly tax planning or just annual preparation?" (Want proactive planning)
- "What's your experience with short-term rental material participation?" (Critical for STR strategy)

Ongoing Compliance Calendar

Deadline	Action Required	Responsibility
March 15, 2026	File Form 2553 for S-Corp election (current year treatment)	You + CPA
Quarterly: Jan 15, Apr 15, Jun 15, Sep 15	Estimated tax payments on S-Corp distributions	You + CPA
Quarterly: Last day of month following quarter	Form 941 payroll tax filing (automated by Gusto)	Gusto + CPA review
January 31 annually	W-2s issued to all employees including yourself	Gusto automated
March 15 annually	Form 1120-S (S-Corporation tax return)	CPA prepares
April 15 annually	Personal Form 1040 with all schedules	CPA prepares
Monthly	Review time logs, approve reimbursements, collect work product documentation	You directly

Success Metrics & Quarterly Reviews

Schedule quarterly review meetings (March, June, September, December) to assess:

- **Tax Savings Realization:** Track actual savings vs projected \$40K-54K annually
- **Bitcoin Accumulation:** Monitor satoshi accumulation rate and cost basis
- **Retirement Contributions:** Verify on-track for \$88K-90K annual household total
- **Entity Compliance:** Ensure timesheets, documentation, corporate formalities maintained
- **Cash Flow Impact:** Confirm W-4 optimization delivering +\$7,200 annually
- **Debt Status:** Verify non-mortgage debt eliminated, no new accumulation
- **Strategy Adjustments:** Evaluate new opportunities, modify allocations as needed

Conclusion: Your Path Forward

This comprehensive wealth plan delivers substantial first-year value through strategic entity restructuring, aggressive tax optimization, systematic Bitcoin accumulation, and maximized retirement contributions. The eight core strategies work synergistically to transform your financial trajectory while positioning you for early retirement within your 3-year goal.

Immediate Priority Actions (Week 1):

1. Update Form W-4 for +\$600 monthly cash flow increase
2. Eliminate \$5K-19K non-mortgage debt using liquid savings
3. Schedule attorney consultation for entity structure review
4. File Management Services LLC with Georgia Secretary of State
5. Begin Form 2553 preparation for S-Corporation election

Critical Success Factors:

- **Documentation Discipline:** Maintain meticulous records of all business activities, employee work performed, and expense justifications
- **Professional Partnership:** Engage experienced CPA specializing in S-Corporations and real estate strategies
- **Systematic Execution:** Follow 90-day timeline methodically, checking off each milestone
- **Compliance Focus:** All strategies are aggressive but compliant - proper documentation prevents IRS challenges
- **Long-Term Vision:** These structures compound benefits annually, creating increasing value over time

Three-Year Wealth Trajectory: Implementing this plan positions you to accumulate 0.85-1.2 BTC, contribute \$265,500+ to retirement accounts, save \$121,200-161,400 in taxes, and build systematic wealth-creation infrastructure supporting your early retirement objective. The combination of tax savings, Bitcoin appreciation potential, and real estate optimization creates multiple paths to achieving financial independence within 36 months.

Your next step: Schedule 60 minutes this week to review this plan, prioritize the Week 1 action items, and begin execution. Every day of delay represents lost tax savings and missed Bitcoin accumulation opportunity. The optimal time to implement was January 1st - the second-best time is today.

Questions or Implementation Support?

Contact Legacy Investing Show for strategic guidance, CPA referrals, or detailed implementation assistance as you execute this wealth plan.